

Hormuz Deadlock Sends PSEi Back Below 5,800; ALI Leads, PLUS Hit by Brazil Ban

Oil rose, US Treasury yields climbed to 19-year highs, and the peso weakened again. Local stocks gave back part of Friday's relief rally. The ₱75.5M headline net foreign buy hides the real picture: ICT drew ₱341M of foreign money on its own, so foreigners were net sellers of about ₱266M across the rest of the market, led by BPI, SM and TEL. Property was the only sector to close higher, helped by ALI. The main local event this week is the pricing of Mynt's GCash IPO on October 1.

THE CALL — ACTIONABLE HIGHLIGHTS

● **ACCUMULATE** ALI ₱15.32 (+1.32%) — Best blue chip on a red tape

ALI was one of only seven index names to close higher, trading ₱15.00–15.44 on ₱167.6M of value, and led Property, the only sector to finish up. Foreigners were net buyers (+₱22.6M), and parent AC also saw foreign buying (+₱34.5M) despite falling 1.87%. The recurring-income (leasing) thesis holds while the rest of the market reprices for higher rates. Accumulate in tranches with ₱15.00 as the reference level; a close below it would weaken the setup.

● **MONITOR** ICT ₱922.50 (+0.27%) — Foreign flow flipped: +₱341.2M net buy

ICT took ₱1.34B of value, 27% of main-board turnover, plus a separate ₱120.5M block at ₱905.07. It was the session's largest foreign buy by a wide margin, a reversal from the sustained selling behind our Monitor/Avoid stance. As a dollar earner, ICT benefits from a weaker peso. We move it to the top of the watchlist but keep it at Monitor: one session of buying is not yet a trend. Two more days of net buying above ₱915 would justify an upgrade.

● **IPO WATCH** MYNT (GCash) ~₱6.50–6.60 indicative — Price-setting Oct 1; offer Oct 6–12; listing Oct 20

This would be the largest Philippine IPO on record at about ₱60B in base proceeds. BlackRock, Fidelity, Capital Group, Schroders and IFC are among 21 cornerstone investors reported to have committed about ₱36.5B. The indicative price is far below the ₱10 cap, which works in new investors' favour. Read-through: GLO (about 34% pre-offer) and AC get a market reference value for their stakes. Liquidity risk: large subscriptions may pull funds out of other index names in the week of Oct 6.

● **MONITOR** TEL ₱1,089 (–2.68%) / GLO ₱1,559 (+0.58%) — NTC ₱100k/day penalty is a headline risk, not an earnings event

The fine works out to roughly ₱36.5M a year per operator if it runs a full year, which is immaterial to either company's earnings. The bigger issue is regulatory tone: NTC will retest every two weeks. The market separated the two names: TEL fell to a ₱1,076 intraday low with ₱83.4M of net foreign selling, while GLO rose on ₱17.8M of foreign buying ahead of Mynt pricing. TEL is still weighed down by the ARPU and dividend-coverage concerns behind JPMorgan's August downgrade. Prefer GLO over TEL into the IPO.

● **MONITOR** BPI ₱95.90 (–1.29%) / BDO ₱113.00 (–0.88%) — Largest foreign sale of the day was a bank

BPI had ₱174.7M of net foreign selling, the biggest outflow of the session, including a ₱76.5M block at ₱96.42. BDO drew +₱87.9M of foreign buying, partly through two block crosses at ₱112.81 totalling ₱49.0M. With US 10-year yields at 5.24% and PH yields rising, banks stay at Monitor.

● **AVOID PLUS ₱7.95 (−6.47%) — Brazil ban; stock at a 52-week low**

Brazil's provisional measure bans fixed-odds betting and online gaming. Withdrawals are allowed until Oct 5, and platforms go dark from Oct 6. Management says there is no material impact, but it has not disclosed how much it has invested in Brazil (Abacus estimates at least ₱660M). The stock is down about 51% YTD and touched ₱7.90 intraday. Stay away until management quantifies the write-down and domestic GGR stabilises.

● **AVOID CEB / Mining (SCC, PX, APX) — Oil-cost squeeze; M&O −3.25%**

CAB lifted the airline fuel surcharge by three notches to Level 17 for Oct 1–15. CEB fell 4.82% to ₱18.96 after an all-time intraday low of ₱18.54, with ₱12.7M of net foreign selling. SCC fell 5.37% to ₱14.46 (low ₱14.26). PX fell 5.76% and APX 5.00% as gold dropped 3%, although foreigners bought APX (+₱17.7M). Avoid until Brent stabilises below \$100.

SESSION DASHBOARD — MONDAY, SEPTEMBER 28, 2026

PSEi 5,788.87 ▼ 37.10 / −0.64%	ALL SHARES 3,222.72 ▼ 23.49 / −0.72%	NET FOREIGN +₱75.5M ex-ICT: −₱265.7M	BREADTH 51 / 128 Adv / Dec (66 unch)	USD-PHP 62.545 ▲ 8c from 62.465
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Metric	Value	Note
PSEi intraday range	5,773.96 – 5,856.38	Broke 5,800 support; 2026 low is 5,730.02 (Sep 24)
Main-board value	₱4.897B	Grand total ₱5.192B incl. ₱292.3M blocks; 84,929 trades
vs Friday (Sep 25)	PSEi ▲ 1.67% → ▼ 0.64%	Fri net foreign +₱2.85B; breadth 106/70
Foreign buying / selling	₱2.409B / ₱2.333B	Total foreign ₱4.742B
PSEi members higher	7 of 30	BLOOM +3.11% led; PLUS −6.47% worst
Support / Resistance	5,730 / 6,000	Street consensus range 5,500 – 6,000

GLOBAL MARKETS

US stocks fell after President Trump rejected Iran's conditional proposal to reopen the Strait of Hormuz, although he said talks could resume this week. The 10-year Treasury yield rose 6bp to 5.24%, its highest since 2007, and the 30-year reached 5.56%, a level last seen in 2004. Boeing fell nearly 7% on a 737 Max 10 certification delay. In Asia, Korea sold off as it returned from a holiday and Shanghai fell 1.7%, while Hong Kong recovered from three days of losses. September was the first month in which the Fed, ECB and BOJ all raised rates, and a second BOJ hike in October is now in play.

Index	Sep 25	Sep 28	% Chg
Dow Jones	51,828.62	51,481.51	▼ −0.67%
S&P 500	7,743.41	7,683.69	▼ −0.77%
Nasdaq Composite	27,068.72	26,820.38	▼ −0.92%
PSEi (PCOMP)	5,825.97	5,788.87	▼ −0.64%
Nikkei 225	—	65,877.62	▼ −0.73%
Shanghai Composite	—	3,823.62	▼ −1.67%
Hang Seng	24,510.00	24,654.86	▲ +0.59%
KOSPI	—	6,889.74	▼ −2.7%
Sensex / TWSE / ASX 200	N/A	N/A	N/A
KLCI / JCI / STI / SET / VN-Index	N/A	N/A	N/A

COMMODITIES

Brent rose about 2.5% as the Hormuz stalemate continued, bringing its September gain to about 17%. Precious metals fell sharply as higher real yields and firmer bets on Fed hikes hurt non-yielding assets: gold dropped to a seven-week low and silver lost 4.3%. The Philippines, as a net energy importer, is directly exposed. Pump prices for Sep 22–28 rose ₱8.82/L for diesel, ₱4.88/L for gasoline and ₱6.47/L for kerosene.

Commodity	Sep 28	% Chg	Comment
Brent crude (\$/bbl, front-month)	106.89	▲ +2.46%	Sept gain ~17%; Dec contract ~\$99
WTI crude (\$/bbl)	93.16	▲ +0.81%	Tracking Brent, narrower move
Gold spot (\$/oz)	4,148.69	▼ -3.19%	Seven-week low
Silver spot (\$/oz)	61.53	▼ -4.31%	Broke below \$62
Copper / Nickel / Coal	N/A	N/A	Not verified this session
Softs & grains	N/A	N/A	Not verified this session

FX & RATES

The peso lost 8 centavos to ₱62.545, staying close to its record-low zone as oil and US yields rose together. Domestic T-bill yields rose across tenors, with thin bids ahead of this week's RTB auction. US rates sold off across the curve: the 2-year gained about 8bp to 4.93%.

Rate	Sep 25	Sep 28	Chg
USD-PHP	62.465	62.545	▲ +0.13% (peso weaker)
US 2-yr	~4.85%	4.93%	▲ ~+8 bp
US 10-yr	~5.18%	5.24%	▲ +6 bp
US 30-yr	5.49%	5.56%	▲ +8 bp
PHL 10-yr BVAL	N/A	N/A	Not in DQR; check vs 7% bank-caution trigger
USD-JPY / USD-CNY / EUR-USD	N/A	N/A	Not verified this session

PHILIPPINES STRATEGY

Oil is now the main driver. Last week's selloff was about growth: S&P cut its 2026 PH GDP forecast to 2.9% and ADB to 3.3%. This week the market is trading oil, peso and yields together. Every extra \$10/bbl on Brent widens the import bill and pushes the peso lower. That weighs on consumer and transport names and on banks while the PHL 10-year stays high.

Who it hurts: Airlines (CEB, facing the Level 17 surcharge and lower demand), transport and logistics, and consumer staples with imported inputs. It also hurts rate-sensitive property developers that depend on residential sales.

Who it helps: Dollar earners (ICT, IMI and BPO-linked landlords) and landlords with recurring income that can pass costs through. That is why ALI's outperformance fits the setup.

Positioning: Stay defensive while the index trades between 5,730 and 6,000. Build positions in quality names (ALI) only in tranches, and keep cash ready for Mynt subscriptions from Oct 6 to 12.

- **CAB fuel surcharge Level 17 (Oct 1–15):** up three notches from Level 14, which directly raises ticket costs for domestic and international flights.
- **T-bills:** yields rose across all tenors as bids thinned ahead of the RTB. See Data Notes on tenor-level rates.
- **Mynt IPO calendar:** final price Oct 1 → offer Oct 6–12 → PSE listing Oct 20. It is the first PH IPO of 2026.

SECTORAL SUMMARY

Sector	Sep 25	Sep 28	% Chg	Value (PM)
Financials	1,811.39	1,794.71	▼ -0.92%	844.8
Industrial	7,597.74	7,475.79	▼ -1.61%	769.0

Sector	Sep 25	Sep 28	% Chg	Value (₱M)
Holding Firms	4,143.01	4,102.31	▼ -0.98%	757.5
Property	1,760.37	1,761.34	▲ +0.06%	706.0
Services	3,192.41	3,188.01	▼ -0.14%	1,904.8
Mining & Oil	20,600.79	19,931.05	▼ -3.25%	208.9
PSEi	5,825.97	5,788.87	▼ -0.64%	—
All Shares	—	3,222.72	▼ -0.72%	—

Services value is inflated by ICT (₱1.34B main board plus ₱120.5M block). Excluding ICT, Services turnover was about ₱445M.

FOREIGN FUND FLOW

Foreigners bought ₱2.409B and sold ₱2.333B, a net buy of ₱75.47M. That is down sharply from Friday's +₱2.85B, and almost all of it came from ICT. Selling was concentrated in banks (BPI), consumer names (URC, MONDE) and holding firms (SM). The YTD net foreign outflow is close to ₱39.4B.

Top Net Buys	Close	% Chg	Net (₱)
ICT	922.50	▲ +0.27%	+341.2M
BDO	113.00	▼ -0.88%	+87.9M
AC	482.80	▼ -1.87%	+34.5M
ABG	72.75	▲ +15.57%	+24.0M
ALI	15.32	▲ +1.32%	+22.6M
AEV	37.40	▼ -1.19%	+21.8M

Top Net Sells	Close	% Chg	Net (₱)
BPI	95.90	▼ -1.29%	(174.7M)
SM	508.50	▼ -0.29%	(147.5M)
TEL	1,089.0	▼ -2.68%	(83.4M)
URC	58.75	▼ -0.76%	(44.9M)
MER	435.00	▼ -2.07%	(38.8M)
MONDE	6.08	▼ -0.98%	(28.3M)

MOST ACTIVE BY VALUE

Symbol	Close	% Chg	Value (₱M)	Net Foreign
ICT	922.50	▲ +0.27%	1,339.6	+341.2M
LTL	1.20	0.00%	352.6	(14.2M)
SM	508.50	▼ -0.29%	329.1	(147.5M)
BPI	95.90	▼ -1.29%	304.2	(174.7M)
BDO	113.00	▼ -0.88%	270.4	+87.9M
TEL	1,089.0	▼ -2.68%	209.8	(83.4M)
AC	482.80	▼ -1.87%	172.8	+34.5M
ALI	15.32	▲ +1.32%	167.6	+22.6M
MER	435.00	▼ -2.07%	117.3	(38.8M)
AP	45.95	▲ +0.55%	109.6	(11.6M)

Main-board (regular market) value only; blocks are shown separately below. LTL (PNB Holdings) traded 301.3M shares pinned at ₱1.20, unchanged, after Friday's ₱1.04B session.

BLOCK SALES

Security	Price (P)	Volume	Value (PM)
ICT	905.07	133,170	120.5
BPI	96.42	793,320	76.5
BDO	112.81	240,000	27.1
MYNLD	16.98	2,720,200	46.2
BDO	112.81	194,690	22.0
Total		4,081,380	292.3

ICT's block crossed at a 1.9% discount to its ₱922.50 close. MYNLD's block at ₱16.98 was 4.8% above its ₱16.20 close (-4.71% on the day). A VWAP trade of 100,000 PX at ₱11.47 (₱1.15M) also printed.

PSEI-30 CONSTITUENT TRACKER

Symbol	Close	% Chg	High	Low	Net Foreign
AC	482.80	▼ -1.87%	492.80	480.00	+34.5M
ACEN	2.70	0.00%	2.70	2.63	(1.8M)
AEV	37.40	▼ -1.19%	37.85	37.35	+21.8M
ALI	15.32	▲ +1.32%	15.44	15.00	+22.6M
AREIT	36.80	▲ +0.68%	37.20	36.55	(2.0M)
BDO	113.00	▼ -0.88%	114.20	112.10	+87.9M
BLOOM	1.99	▲ +3.11%	2.00	1.90	(0.0M)
BPI	95.90	▼ -1.29%	97.50	94.30	(174.7M)
CBC	51.15	▼ -2.48%	52.45	51.05	+0.5M
CNPF	33.00	0.00%	33.25	32.80	(13.0M)
CNVRG	9.09	▼ -1.41%	9.27	9.06	(2.8M)
DMC	7.54	▼ -4.56%	7.90	7.50	(3.8M)
EMI	15.38	▼ -1.28%	15.58	15.34	+6.5M
GLO	1,559.0	▲ +0.58%	1,570.0	1,543.0	+17.8M
GTCAP	441.00	▲ +0.92%	441.00	430.00	(3.5M)
ICT	922.50	▲ +0.27%	943.50	915.50	+341.2M
JFC	142.50	▼ -1.72%	145.50	142.00	(3.4M)
JGS	18.90	▼ -1.05%	19.14	18.80	(3.7M)
LTG	15.34	▼ -0.39%	15.48	15.24	+7.4M
MBT	62.00	0.00%	62.20	61.55	(22.8M)
MER	435.00	▼ -2.07%	452.40	435.00	(38.8M)
MONDE	6.08	▼ -0.98%	6.15	6.02	(28.3M)
PLUS	7.95	▼ -6.47%	8.31	7.90	+6.5M
RCR	6.50	▲ +0.62%	6.52	6.45	(3.7M)
SCC	14.46	▼ -5.37%	15.30	14.26	(3.7M)
SM	508.50	▼ -0.29%	513.00	505.50	(147.5M)
SMC	61.00	▼ -1.61%	62.05	61.00	(0.6M)
SMPH	16.00	0.00%	16.20	15.86	(14.3M)
TEL	1,089.0	▼ -2.68%	1,119.0	1,076.0	(83.4M)
URC	58.75	▼ -0.76%	59.15	58.45	(44.9M)

% change is computed from the Sep 25 DQR close. Roster reflects the Feb 2, 2026 rebalance (RCR in, AGI out).

CORPORATE STANCE CARDS

● **MONITOR** MER ₱435.00 (-2.07%) — Seeks ERC nod for ₱2.64B Jan–Jun 2026 refund

The refund comes from the AWAT true-up: Meralco realised ₱1.5537/kWh against the approved ₱1.3522/kWh. The proposal is ₱0.0487/kWh on average (₱0.0828/kWh residential, about ₱16.56 a month on 200 kWh) over 12 months, with provisional authority requested and ERC hearings in October. It is a cash-flow item on top of the ₱9.5B refund already under way, not new earnings pressure if already provisioned (confirm in Q3). Offset: MGEN broke ground on the S\$1.2B, 670MW hydrogen-ready CCGT plus battery storage at Jurong Island (COD 2029), which is a long-dated regional earnings driver. MER closed at its ₱435 session low with ₱38.8M of net foreign selling.

● **MONITOR** GLO / TEL / DITO — NTC show-cause orders over NCR mobile speeds

Areas flagged: Globe (Manila, Makati, QC), Smart (Parañaque, Manila, Pasig), DITO (San Juan, Pasay, Las Piñas). The penalty has accrued from Sep 25 under Sec. 17(a) of the Public Service Act. DITO confirmed receipt of the order; Smart and Globe said they had not yet received it.

● **AVOID** PLUS ₱7.95 (-6.47%) — Brazil provisional measure; 120-day congressional window

Expansion into Brazil is halted and the company's next target market is South Africa (three licenses secured in April). Brokers differ: Abacus says Avoid, while COL keeps its fair value because Brazil was not in its forecasts.

● **MONITOR** FEU ₱800.00 (-0.25%) — Completed ₱156M investment in Bataan school

This closes the deal announced in March for control of the Bataan-based university, extending FEU's regional campus footprint. The deal is small relative to FEU's ₱650M 1H profit. Neutral.

● **MONITOR** SCC ₱14.46 (-5.37%) — Pushes for capability test in Semirara coal rebid

The stock hit a 52-week low at ₱14.26. The outcome of the rebid matters for its mine-life narrative. Wait for clarity.

SMARTWATCH — WHAT MOVES THE TAPE NEXT

- **US–Iran / Hormuz:** any restart of talks this week is the main upside catalyst for peso, oil-sensitive names and the index.
- **Oct 1:** Mynt final pricing. Oct 1–15: Level 17 airline surcharge takes effect.
- **This week:** US PCE and jobs data, which shape Fed hike expectations, and the BTr RTB auction.
- **Early October:** PH September CPI, where oil pass-through is the key risk to the BSP path.
- **Levels:** PSEi support at 5,730 (2026 low), then 5,584 (Nov-2025 low). Resistance at 5,800, then 6,000.

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